

**DIRE DAWA UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT**



**MODEL EXIT EXAM ON Theme 1: Fundamentals of Management and Marketing FOR 4TH YEAR MGMT
REGULAR STUDENTS**

"Trust yourself; u knows more than you think you do"

**Date:- 29/12/ 2022
Time allowed: 3:00 Hr.
Maximum marks: 100**

Name: _____ IDNO: _____ Section _____

Exam Instructions

- You make sure that this exam booklet contains 7 pages.
- Mobile phones may be turned off (including alarms) and placed face down under your chair.
- Students are required to obey any instructions given by Invigilator.
- Students are advised to read with care all instructions at the beginning.
- No conversation is permitted in the examination room except with an Invigilator.
- Please keep your work covered during the exam.
- If anything in the examination question paper is unclear, you can contact the lecture visiting the venue.
- Any attempt to cheat and relevant procedures for cheating will be treated as Academic Misconduct for which penalties apply.

PART ONE: MULTIPLE CHOICE ITEMS

- 1 Caterpillar Inc.'s chairman recalled that, while making sales calls in Africa in his younger days, pricing decisions were often forced upon him from headquarters even though those decisions did not fit the local market ,which of the EPRG framework denoted by the above statement ?
A. Geo-centricity B. Poly centricity **C. Ethnocentricity** D. Regio-centricity
- 2 Geo-centricity orientation includes all except one
A. Equal importance to every country domestic"s markets.
B. Considers the whole world rather than any particular country as the target market.
C. The company adapts its marketing program to meet local needs within the broader framework of its total strategy.
D. Might be thought of as denationalized or supranational.
- 3 Can be described as a process of segmentation, targeting, and positioning(STP).
A. domestic marketing B. global marketing C. multinational marketing **D. Strategic marketing**
- 4 Is the stage of international marketing where the firm operates in many markets,

consolidation on regional basis.

A. Strategic marketing B. global marketing C. domestic marketing D. **multinational marketing**

5 are internal taxes that are levied on the sale of specific goods and services, such as alcohol, fuel and tobacco.

A. Single-stage tax B. value added tax C. cascade taxes D. **excise tax**

6 is a type of quota that imposes an embargo, or a zero quota, as showed in the case of the US trade embargoes against Libya and North Korea.

A. Tariffquotas B. voluntary quotas C. **absolute-quotas** D. None

7 is applied with the primary purpose of importing what are needed and discouraging excessive quantities through higher tariffs.

A. **Tariffquotas** B. voluntary quotas C. absolute-quotas D. None

8 Which one of the following is odd?

A. **Voluntary export restraint** C. Revenue tariffs
B. Documentation D. license

9 are a fixed amount of money per unit of weight, gauge, or other measure of quantity.

A. **Specific rates** B. ad valorem rates C. combined rates D. protective

10 are levied, they usually apply to a country's scarce resources or raw materials (rather than finished manufactured products).

A. **Export tariffs** B. Import tariffs C. revenue tariffs D. consumption taxes

11 Internationally, China prefers a strategy of differentiated marketing based on the difference in, socio-cultural, purchasing power of the countries (USA & Ethiopia) for its differentiated manufactured goods and its services, from this explanation we can deduce that Chinese government thinks each market ____.

A. **Poly centric** B. Ethnocentric C. Geo-centric D. Regio-centric

12 „ABC“ company in France, that is offering perfume products to the global market, used the Eiffel Tower that is instantly recognizable as a French national icon as its symbol in its brand, ABC company is using branding strategy.

A. Global Branding C. Solo Branding
B. **Geographic Branding** D. Extension Branding

13 Countries pursuing the ----- strategy sell the same product with the same promotional appeal as used in the home country, the world-market segments.

A. **Dual extension strategy** D. Dual adoption strategy
B. Product extension & communication adoption strategy
C. Product adoption & communication extension strategy

14 An example of this is the Virgin Group, which includes Virgin Atlantic, Virgin Galactic, Virgin Mobile, Virgin Voyages, and more is _____ branding strategy.

A. Extension Branding C. **Umbrella Branding**
B. Hallmark Branding D. Personal Branding

15 The degree to which the innovation matches the values and experiences of the individuals.

A. **Compatibility** B. Complexity C. Relative Advantage D. Divisibility

16 An example of shampoo which is different from existing products only in its brand name, fragrance, color, packaging.

A. **Continuous innovation** C. Discontinuous innovation

B. Dynamically continuous innovation D. None

17. Product is suitable for all markets but Austria & Italy regulates TV advertising to children: Saudi Arabia does not want advertisers to use women in ads.

A. **Product extension & communication adoption strategy**

B. Product adoption & communication extension strategy

C. Dual extension strategy

D. Dual adoption strategy

18. Tony the Tiger promotes Kellogg's Frosted Flakes in more than 50 countries, this implies---

A. **Standardized advertising** B. Localized advertising C. Magazine Advertising D. none

19. are an independent organizations who agreed to manage the export market of the producer at a fixed remunerations.

A. Domestic based export merchants E. **Export management companies**

B. Domestic based export agents D. None

20. ----- is a stage of international product life cycle where export decreases & the competition is between Less Developed Countries" and Advanced nations

A. Local innovation
Reversal

B. C. maturity

C. **Worldwide** imitation D.

22. Overseas Product developed to local market cannot be used in the same way in foreign market.

A. Dual extension strategy

D. **Dual adoption strategy**

B. Product extension & communication adoption strategy

C. Product adoption & communication extension strategy

23. _____ is most commonly used for insurance, investments, credit cards, magazine subscriptions, books, videos, personal care products, and home improvements.

A. **Telemarketing** C. personalized e-mail messages

B. Prospecting D. Relationship marketing

24. can refer to marketing tactics, cold calls, email campaigns, and other ways to nurture leads.

A. **Prospecting** B. Expatriates C. Relationship marketing D. none

25. Pepsi-co used a sponsorship agreement with DSTV to pay a certain amount of money to the DSTV & in return Pepsi-co agreed to give air time for advertising Pepsi-co's products before

the Game, at half time & after the game using DSTV in each game of European champions' league using football players (Messi & Mohamed Salah) as spokespersons for its ads.

A. Life style ads B. **Endorsement ads** C. Humorous ads D. Emotional ads

26. Ethiopian government had an agreement with Rajan Indian building contractor to build Dire-Dawa industry zone, with a facility fully equipped and ready to be operated by the Ethiopian personnel, who will be trained by the Rajan Indian building contractor, this Foreign Market Entry Strategies refers to us.

A. **Turnkey operations**

C. contract manufacturing

B. Management contract

D. Franchising

27. Examples of these efforts include following up with customers to ensure satisfaction, sending notices of special sales and reduced prices, and creating frequent-buyer programs to earn bonus gifts or special services.

A. **Relationship marketing**

C. Database marketing

B. Expatriates

D. Trade fairs

28. is simply a partnership at corporate level, and it may be either domestic or international.

- A. Wholly Owned Subsidiaries C. strategic liance
B. **Joint venture** D. Acquisition
29. Coca cola company in 2019 launches a strategy slogan that is entitled by "You will win amazing prizes" Win World Cup Ticket – Coca Cola if you get the prize number under the bottle cap based on judges using a set of criteria's, this strategy is -----types of sales promotion.
A. Sweepstakes B. Coupons **C. Contests** D. Premiums
30. You will see pens, key chains, calendars, notepads, briefcases, ice-cream scoops, drinking cups, towels, T-shirts, baseball caps, and golf balls with advertising messages.
A. Point-of-Purchase Promotions **C. Specialty Advertising**
B. Contests and Sweepstakes D. public relations
31. Retail stores give a loyalty card to customers who shop from them regularly, that allow a loyal customer to get a \$50 discount on the purchase of \$2000. These sentence justifies
A. Premium pricing B. penetration pricing
C. Economy pricing **D. Price discrimination**
32. XYZ manufacturer wants to determine Unit cost, selling price & Markup price using the following given costs $VC=15$, $FC= 400,000$ & Expected unit sales =60,000 when a manufacturer wants to earn a 20% markup on sales, the Unit cost, selling price & Markup priceis_____respectively.
A. 21.6667, 27.0833 &6.6667
B. 21.6667, 27.0833 &5.4166
C. 21.6667, 27.0833 &4.5166
D. 27.0833 ,21.6667 &5.4166
33. The types of demand that uses *marketing strategy*-Maintenance marketing (maintain the current level of demand in the face of changing customer's preferences and increasing competition).
A. Latent demand B. Irregular demand **C. Full demand** D. Over full demand
34. Which one of the following is not the characteristics of Marketing concept
A. It is an outside-in perspective-start from a well-defined market
B. Find the right products to the right customers
C. Inside out perspective-starts from the company's existing products.
D. Sense and respond philosophy
35. All of the actors in the system are affected by major environmental forces that includes the Company's Micro Environment except.
A. Company departments B. suppliers **C. Distribution of income** D. competitors
36. All are the marketing mix elements is tangible products except.
A. Product B. Price **C. People** D. Place E. Promotion
37. Purchases by consumers are influenced by all Psychological factors excluding one.
A. motivation B. perception **C. personality** D. learning and believes
38. The marketing concept_____?
A. Is practiced most aggressively with unsought goods that buyers normally do not think of buying, such as insurance, encyclopedias, and funeral plots.
B. Holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfaction more effectively and efficiently than competitors do.
C. holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfaction more effectively and efficiently than competitors do.

D. holds that the consumers will favor those products that offer the most quality, performance or innovative features.

39. The types of attitude by which an individual is buying an idea positively in order to protect his internal deficiency not to come in to the open

A. **Ego defensive** B. Instrumental
B. value expressive D. Knowledge /objective appraisal

40. Chevrolet's brand name "Nova" in Spanish means, "it does not go". In Japanese, 3M's slogan "sticks like crazy" translates as "sticks foolishly" this examples justifies environment.

A. Natural Environment B. Demographic Environment

B. Economic Environment D. **Socio-cultural Environment**

41. The following fundamental features characterize industrial market except

A. **Many buyers exist in the market** B. Few large buyers do most of the purchase
C. Close supplier-customer relationship D. Geographically concentrated markets
E. Inelastic demand: demand is not very much affected by price changes.

42. Which features of industrial market is characterized by the seller buys only from own customers when they need.

A. Larger purchase B. Fluctuating demand

B. Complementarities D. **Reciprocity**

43. Is a possible product that the company can see itself offering to the market?

A. Concept testing B. product image

B. product concept D. **product ide.**

44. The stage at which the product and marketing programs are introduced into more realistic market setting (sample distribution).

A. Business analysis B. **Product development**

B. Commercialization D. Market testing

45. The *Growth* stage PLC is characterized by the following features:

A. Lasts longer than other stages

B. Basic version of the product is offered

C. Investing further in order to dominate the market

D. **Penetration of product into the market**

46. Markup pricing is sensible except

A. **If that price actually brings in the expected level of sales**

B. If sellers are more certain about demand than costs

C. If all firms in the industry use this pricing method, price tend to be similar and price competition is minimized

D. If sellers are more certain about costs than demand

47. Which one is the correct path of Cost-based pricing

A. product value → price → cost → customer

B. **product cost → price → value → customer**

C. customer → value → price → cost → product

D. customer → cost → value → price → product

48. Which one of the following are not appropriate marketing mix strategies for Introduction stage of product lifecycle.

A. Penetration pricing

B. **Improving product quality**

C. Awareness creating advertising with heavy spending

D. Use of long channels of distribution

49. ____ are those whose values or behavior an individual rejects.

A. Aspiration groups B. dissociative groups C. opinion leader D. Reference groups

50. Consumers engage in _____ behavior when they purchase expensive products in order to learn significant differences among brands.

A. Dissonance-reducing buyer behavior C. **Complex buying behavior**

B. Habitual Buying Behavior D. Variety-seeking Buying Behavior

51. Which one of the following is not true about Complex buying behavior?

A. The marketer of a high involvement product must understand high-involvement consumers' information gathering and evaluation behavior.

B. The product is expensive, bought infrequently, risky, and highly self-expressive.

C. **Consumers often do a lot of brands switching.**

D. The marketer needs to develop strategies that assist the buyer about the product's attributes and the relative importance of the company's brands.

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A. Few large buyers do most of the purchase B. Close supplier-customer relationship

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53. Which features of industrial market is characterized by the seller buys only from own customers when they need.

A. Fluctuating demand

B. **Reciprocity**

C. Complementarities

D. Larger purchase

54. The stage at which the product and marketing programs are introduced into more realistic market setting (sample distribution).
- A. Business analysis **B. Product development**
C. Commercialization D. Market testing
55. The Growth stage PLC is characterized by the following features:
A. Basic version of the product is offered B. Penetration of product into the market
C. Investing further in order to dominate the market **D. Lasts longer than other stages**
56. Purchases by consumers are influenced by all Psychological factors excluding one.
A. motivation B. **Personality** C. learning and believes D. Perception
57. An increase in demand for furniture's results an increase in wood, this is type of demand.
A. Inelastic demand C. Joint demand
B. **Derived demand** D. Fluctuating demand
58. ____ Types of buying situation the marketer not only tries to reach as many key buying influences as possible but also provides help and information.
A. modified buying B. **New Task Buying** C. Straight Re-buy D. All
59. In types of market segmentation many companies today are localizing their products, advertising, promotion and sales efforts to fit the needs of individual regions, cities and even neighborhoods.
A. Demographic B. psychographic C. behavioral variables **D. None**
60. ____ Is a possible product that the company can see itself offering to the market?
A. Concept testing B. Product image C. **product idea** D. product concept
61. The example of ____ products is life insurance, cemetery plots, gravestones, encyclopedias and soon.
A. Specialty B. convenience **C. Unsought** D. Shopping
62. ____ divides buyers into groups based on their knowledge, attitude, uses or responses to a product.
A. Demographic B. psychographic **C. behavioral variables** D. Geographic Segmentation
63. one buyer can routinely purchase Teff, tooth paste and the like
A. Emergency goods B. Impulse goods **C. Staples** D. All
64. A ____ is something that takes on a physical form, such as an MP3 player or a laptop computer. A ____ is an activity or benefit that is intangible, such as an airplane trip or advice from an attorney.
A) Component, service B) Service, component
C) Product, service D) Formation, service E) Service, product
65. Sometimes the consumer is highly involved in a purchase but *sees little difference in the brands*.
A. Complex buying behavior C. **Dissonance-reducing buyer behavior**
B. Habitual Buying Behavior D. Variety-seeking Buying Behavior
66. An example of Christian meat in Muslim countries or meat generally among the vegetarians as in India, this example justify ____ state of demand.
A. Latent demand **B. Negative demand** C. No demand D. Declining demand
67. In ____ state of demand, the marketing task, called synchro-marketing, is to find ways to alter the pattern of demand through flexible pricing, promotion and incentives.
A. Full Demand B. Over-full demand **C. Irregular demand** D. Unwholesome demand
68. A ____ is something that takes on a physical form, such as an MP3 player or a laptop computer. A ____ is an activity or benefit that is intangible, such as an airplane

trip or advice from an attorney.

A) **Product, service**

B) Service ,component

C) Component, service

D) Formation, service E) Service ,product

69. For example, computer maker Lenovo dominates the highly competitive, price-sensitive Chinese PC market through low labor costs, high production efficiency, and mass distribution, this can be _____ type of concept

A. The Product Concept

C. The Selling Concept/Sales Concept

B. **The Production Concept** D. The Marketing Concept

70. Encyclopedia, door to door selling, insurance, and online shopping are some of the main examples of _____ types of concept.

A. The marketing concept C. The societal marketing concept

B. **The selling/sales concept** D. The Relationship Marketing Concept.

71. Relationship marketing features includes all except one:

A. Strategies focused on existing customers

B. Builds company customer relationship

C. Assists in customer retention & driving sales **D. Managing Brand**

72. XYZ Company is prominent in offering different types of products to the market. What basis of departmentation is more appropriate to the company?

A. Customer **B. Product** C. Function D. Process

73. Ato Bekele is the CEO of ABC company which operates in tour and travel business. And Ato Haile is the attorney of ABC Company. Therefore, Ato Haile has authority over Ato Bekele.

A. Line **C. Staff**

B. Functional authority

D. All

74. A company manager has been assessing the need and desire of employees in order to ensure their motivation. Based on a research he found that most of the employees needs are related with autonomy, achievement, status, recognition, and attention. According to hierarchy of needs theory the needs of the employees belongs to:

A. Self actualization need C. Security need

B. **Self Esteem need** D. Social need

75. The managerial function that provides direction, a common sense of purpose for the organization through the development of goals and objectives, and the means to reach them is?

A. **Planning**

C. Controlling

B. Leading

D. Organizing

76. _____ refers to the number of employees who are under the immediate supervision of a particular manager.

A. Decentralization

C. Division of labor

B. **Span of control**

D. Centralization

77. Which one of the following is/are not the characteristics of formal organization?

A. Well defined authority

B. Report relationship

C. Policies, procedures, specific job duties

D. Unofficial relationship of personnel

78. A Bakery co. found in Addis city needs to open its Branch in Dire Dawa city, and its manager sent company quality control experts to help bakers learn processes for baking high- quality breads in Dire Dawa. This type of control is;

A. Feed forward control C. **Concurrent control**

B. Feedback control D. All

79. When a manager listens to ideas and opinions of subordinates while making decision,

the manager exercised _____ type of leadership?

A. Free-rein

B. Autocratic

C. democratic

D. None

80. ABC Company has designed a completed sound vision, mission, strategy and strategic objectives. The manager of the company believes that in order to implement them a sound motivation, as well as communication by using different media like brochure, newsletter, and workshop to employees of the organization is important. The manager is dealing with
:

- A. Planning
- B. **Leading**
- C. Organizing
- D. A and B

81. All of the following would be considered as a separation except:

- A. **Demotion**
- B. Retirement
- C. layoff
- D. Death

82. Planning exists in all organizations regardless of their type and size.

This feature of planning refers to:

- A. **Primacy of planning**
- B. Pervasiveness of planning
- C. Contribution to purpose & objective
- D. It concerns future activity

83. Which statement doesn't describe the function of leading?

- A. Leading is showing direction for the employees of an organization
- B. **Leading is monitoring the day to day activities of workers**
- C. Leading is influencing people toward the achievement of organizational goals
- D. Leading is about inspiring and motivating others
- E. All of the above

84. Which one of the following is correct statement?

- A. Informal organization doesn't have any contribution to the success of organizational goal
- B. According to Herzberg, Hygiene factors can lead to job satisfaction
- C. Autocratic leadership is suitable when we need to empower our employees
- D. **wide span of control reduce the number of hierarchical levels in an organization**
- E. None of the above

85. Which of the following is not correct about theory X and theory Y?

- A. Theory X views people as having an inherent dislike of work
- B. Theory Y assumes that the average person will accept, even seek, responsibility
- C. Theory X assumes that people are not self-motivated and want to be directed
- D. Theory Y views people as responsible and self-centered
- E. **None of the above.**

86. Which one of the following is correct statement?

- A. Centralization and decentralization are extremely opposite
- B. Centralization doesn't have a structure
- C. There is no delegation of authority in centralized organization
- D. **subordinates are more empowered in decentralization than centralization**
- E. None of the above

87. Managers use conceptual skills when they consider;

- A. The overall objectives and strategy of the organization
- B. Impact of political and economic forces on company
- C. Complex and dynamic issues
- D. **ALL**
- E. None

88. Which of the following plans are not repetitively used in making decisions?

- A. **project**
- C. policy

B. procedure D. none

89. Proper selection and training of employees, inspecting raw materials, checking the proper functioning of equipment are examples of:

- A. **Input control** B. behavioral control C. output control
D. concurrent control E. all of the above

90. The major activities in the staffing function include except:

- A. Manpower planning C. Selection
B. Recruitment D. Placement E. **Division of labor**

91. According to Herzberg's two factor theory:

- A. The existence of sufficient money motivates
B. **The existence of job advancement motivates**
C. The existence of good coworker motivates
D. Both money and working environment motivates
E. All of the above

92. In ABC company production, marketing, finance and HR Manager, with the same level of management, have conducted meeting regarding the future functional fate of their organization. What kind of communication this involves?

- A. Downward communication B. Upward communication
C. **Horizontal communication** D. Vertical communication
E. Diagonal communication F. Informal communication

93. Which one of the following theories proposes that the factors that help prevent dissatisfaction On the job do not necessarily lead to satisfaction?

- A. Carrot and Stick Approach
B. Money as a Motivator
C. Hierarchy of Needs Theory (Abraham Maslow)
D. **The two-Factor Theory(Herzberg)**
E. Theory X and Theory Y (Douglas McGregor)

94. Dire Dawa university decided to group its major activities in to three major functions; academic research and community engagement, academic and administration: In turn the administration function grouped as: finance, Human resource, General Service and logistics; all of them were supposed to provide report to vice president of administration. This statement reflects:

- A. Departmentation by Territory D. Departmentation by product
B. Departmentation by customer E. Departmentation by process
C. **Departmentation by Function** F. All

95. Which one following step comes after establishing standard objective to control activities?

- A. Determine Areas to Control
B. Compare results with objectives and standards.

C. Measure actual performance.

D. Take necessary action.

96. What is the major purpose of controlling function?

A. To see the right things happen, in the right ways, and *at the right time*.

B. To assign the right responsibility, authority –relationship.

C. identifies the right man, at the right time, for the right task.

D. All

97. Why management is regarded as a universal activity

A. All managers perform the five managerial functions even if with different emphasis.

B. It is applicable for all human efforts; be it business, non-business, governmental, private.

C. Management utilizes scientifically derived operational principles.

D. All managers operate in organizations with specific objectives.

E. Management, in all organizations, helps to achieve organizational objectives.

F. All of the above

98. In what order managers typically perform the manager"s functions?

A. Organizing, Controlling, Leading, Planning, Staffing

B. Planning, Organizing, Staffing, Controlling, Leading

C. Planning, Organizing, Staffing, Leading, controlling

D. Planning, Staffing, Organizing, Leading, Controlling

99. What are the three Interpersonal roles of managers?

A. **Figurehead, Leader, Liaison**
Spokesperson

C. Figurehead, Leader,

B. Monitor, Disseminator, Spokesperson
D. Disseminator, Figure head,
Monitor

100. Which one of the following is not the function of first line managers?

A. Assigning operating employees to specific tasks.

B. Establishing broad organizational objective.

C. Sending reports and statements to superiors.

D. Keeping a watch on workers performance.